just as much as our ultimate net worth. The entire concept of a utility function captures the notion that investors do not value each dollar of wealth one for one.

2. Happiness

   Happiness is an important emotion, and maximizing happiness could be a criterion for making a decision. Happiness is also correlated with wealth in empirical studies.[11] One popular interpretation of an asset owner maximizing utility by taking a series of actions is that she achieves bliss (or as close to it as possible) by choosing a particular portfolio. This is not strictly correct. The asset owner balances risk and return and dislikes certain risks, such as the risk of large and ruinous losses, more than others, such as the risk of small fluctuations. The preferences of the asset owner capture both risk and return, which pure happiness-seeking does not.

3. Rationality versus behavioral approaches

   A healthy debate rages between finance academics over whether high returns for a particular style of investing (value stocks, e.g., have higher returns on average than growth stocks, see chapter 7) are due to rational or behavioral stories. This is less relevant for the asset owner, who should treat the rational and behavioral frameworks as ways to make optimal decisions. Most people do not have rational expected utility. But that does not mean that certain rational expected utility models are not useful in making decisions.

2.6. THE NORMATIVE VERSUS POSITIVE DEBATE

An important distinction is between normative economics (what is the best portfolio to hold?) versus positive economics (what do people actually hold?). The normative versus positive debate is ultimately philosophical, but the asset owner needs to spend some time thinking about this issue.

The normative approach starts with characterizing the asset owner. This approach assumes you "know thyself" and can describe the set of bad times and how you feel about those bad times. Combined with estimating the probability of bad times, expected utility provides a way for us to set an optimal allocation policy. This advice is what you should do. This is normative economics.

But what if the investor does not follow this "optimal" advice? We could conclude that our theory is not describing what the investor is actually doing. For a better description of how the investor is acting, perhaps we should revisit the utility function, or go back and reestimate the probabilities perceived by the investor. We can now find the actual utility function the investor has, rather than

[11] Although wealthier people are happier than poorer people within countries, Easterlin (1974) found rich countries are not happier, on the whole, than poorer countries. There was no change in happiness over time, even though there have been tremendous increases in GDP per capita. Stevenson and Wolfers (2008) have disputed some of these findings.